WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BRAZIL

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
São Paulo (state and city) and the Port of Santos	Brazil's financial and industrial heartland, home to the B3 exchange, most corporate headquarters and Brazil's largest port	Financial services, manufacturing, technology, logistics
Rio de Janeiro and the offshore pre-salt basins	Centre of the oil and gas industry; pre-salt fields supply 82% of national output, which reached a record 4.475 million barrels a day in June 2026	Oil and gas, offshore services, shipbuilding, energy
Brasília (Federal District)	Federal capital and seat of the presidency, ministries, Congress and the main regulators	Government relations, regulatory affairs, concessions
Centre-West agricultural frontier (Mato Grosso, Goiás, Mato Grosso do Sul)	Engine of Brazil's farm output, which grew 6.2% over the twelve months to Q2 2026 and underpins record soybean shipments to China	Grains, protein, agro-processing, storage and rail logistics
Minas Gerais	Traditional mining and steel state with a growing role in lithium and other critical minerals	Mining, metals, critical minerals, manufacturing
Manaus Free Trade Zone (Amazonas)	Industrial hub in the Amazon whose tax incentives run to 2073 and are preserved under the new consumption-tax system	Electronics, two-wheelers, assembly manufacturing
North-east (Ceará, Bahia, Rio Grande do Norte, Pernambuco)	Brazil's leading wind and solar region, with port-based industrial complexes positioning for green hydrogen and export industries	Renewable energy, green hydrogen, ports, tourism

INVESTOR ENTRY ROUTES

- ApexBrasil (Brazilian Trade and Investment Promotion Agency) provides investor intelligence, tailored business agendas, an investment-opportunity portfolio and matchmaking
- Registration of foreign capital with the Banco Central do Brasil under the modernised foreign-exchange framework (Law 14.286/2021), which underpins capital repatriation and profit remittance; the real is free-floating
- Federal and state concession and public-private partnership (PPP) programmes, alongside the Novo PAC investment programme, offering long-term contracts in transport, energy, sanitation and social infrastructure

- Manaus Free Trade Zone incentives (to 2073) and Export Processing Zones (ZPEs) offering tax and customs benefits for qualifying manufacturing and export projects
- Eco Invest Brasil, a National Treasury programme providing blended finance and requiring currency hedging for green and ecological-transition projects funded with foreign capital
- EU–Mercosur Interim Trade Agreement, provisionally applied since 1 May 2026, opening phased tariff reductions for EU–Brazil trade and supply chains
- Acquisitions, joint ventures and capital-markets entry via the B3 exchange, noting sector-specific foreign-ownership limits in areas such as rural land, media and certain health and maritime activities

MARKET-ENTRY OBSERVATION

Brazil in October 2026 offers investors scale, diversified growth drivers and one of the world's deepest pools of foreign direct investment. GDP rose 0.5% quarter-on-quarter in Q2 2026 and 2.0% year-on-year, led by agriculture (+6.2% over twelve months), extractive industry (+3.4% in the quarter) and a 1.2% rise in fixed investment. Direct investment inflows reached $86.6 billion in the twelve months to August 2026, equal to 3.39% of GDP, while oil output hit a record 4.475 million barrels a day in June. Exports reached a record $348.7 billion in 2025, and the EU–Mercosur Interim Trade Agreement has applied provisionally since 1 May 2026. A landmark consumption-tax reform is moving into implementation, with IBS and CBS regulations issued in April 2026 and a phased transition from 2027.

Brazil's main structural challenge is fiscal: gross public debt stood at 82.9% of GDP in August 2026, and high interest costs keep the nominal deficit near 9.5% of GDP even though the primary deficit is a modest 0.62%. The policy framework is well equipped to manage this. The central bank has begun an easing cycle, cutting the Selic rate for a fifth consecutive time to 13.75% in September 2026, while keeping a firm stance as annual inflation of 4.58% sits just above the 4.5% tolerance ceiling, driven largely by electricity tariffs. External buffers are strong: international reserves of $372.6 billion and FDI inflows that comfortably exceed the 2.47%-of-GDP current account deficit. For investors, falling rates from a high base create attractive entry points in infrastructure, credit and local-currency assets, and fiscal consolidation will be a central theme for the government that takes office in 2027.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Public debt and high interest rates	Gross debt reached 82.9% of GDP in August 2026 and the Selic, at 13.75%, keeps domestic borrowing costs high	An easing cycle is under way; long-term concession revenues, development-bank co-finance and blended instruments such as Eco Invest can lower the cost of capital
Election transition	The presidential run-off on 25 October 2026 between President Lula and Flávio Bolsonaro may bring adjustments to fiscal and sector priorities	Brazil's strong institutions, inflation-targeting central bank and long-term contract framework support continuity; engage early with incoming teams and sector regulators
Tax complexity and reform transition	The current tax system is complex, and the move to the new IBS and CBS consumption taxes runs in phases from 2027 to 2033	Early tax structuring advice captures transition benefits; the reform is expected to simplify compliance and reduce cascading taxes over time
US tariffs on Brazilian goods	US Section 301 measures in force since July 2026 cover about 23.1% of Brazil's exports to the US, a market that took 9.4% of exports in H1 2026	Exposure is limited and diversifying; EU–Mercosur access and strong Chinese and regional demand open alternative markets
Inflation slightly above target band	Annual IPCA inflation of 4.58% in September 2026 is just above the 4.5% ceiling around the 3% target, mainly reflecting electricity tariffs	Inflation remains moderate and the central bank's credible stance supports a gradual return to target; index-linked contracts provide protection
Logistics and operating costs ("Custo Brasil")	Investors cite high transport and labour costs and infrastructure gaps across a continent-sized market	These gaps are themselves an investment opportunity through rail, port, road and energy concessions and PPPs
Currency movements	The free-floating real can respond to global risk sentiment and portfolio flows	Reserves of $372.6 billion provide a buffer; apply standard hedging, supported

Issue	Potential Impact	Possible Mitigation
		by deep local derivatives markets and Eco Invest hedging structures

INVESTOR RISK NOTE

Brazil's risk profile is that of a large, diversified, institutionally mature economy with strong external buffers and a fiscal challenge that is well understood and openly debated. Record oil output, a booming agricultural sector, record exports and FDI inflows of $86.6 billion over twelve months to August 2026 demonstrate the depth of investor confidence, while $372.6 billion in reserves and a floating exchange rate absorb external shocks. The main considerations are the high level of public debt and interest rates, which an easing cycle is now beginning to address, and the transition following the 25 October 2026 presidential run-off, which may bring adjustments to fiscal and sector priorities. US Section 301 tariffs affect a limited and declining share of exports, cushioned by the EU–Mercosur agreement and strong Chinese demand. Investors should build interest-rate and currency scenarios into project economics and monitor the incoming government's fiscal plans, while recognising that Brazil's long-term contract framework, regulatory agencies and capital markets provide continuity across political cycles.

MARKET ACCESS

Brazil is the largest member of Mercosur, alongside Argentina, Paraguay and Uruguay, and a founding member of the WTO and of BRICS, giving it a genuinely multi-directional trade profile. The EU–Mercosur Interim Trade Agreement, signed in January 2026 and provisionally applied since 1 May 2026, phases out most tariffs over up to 15 years, with quotas for sensitive agricultural products such as beef, poultry, sugar and ethanol. China is the dominant export market, taking more than $100 billion, or about 28% of exports, in 2025, followed by the United States (10.8%) and Argentina (5.2%). Exports flow through Santos, Paranaguá and a growing network of northern-arc ports and grain corridors serving the Centre-West, while the pre-salt fields make Brazil a major crude exporter. This combination of regional integration, European access and Asian demand gives investors flexible routes to global markets.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Presidency of the Republic (Palácio do Planalto)	Sets national economic, industrial and climate policy; the 25 October 2026 run-off decides the administration taking office in 2027	Primary reference point for strategic direction and for engagement with the incoming government
ApexBrasil	National trade and investment promotion agency; principal facilitation body for foreign investors	Standard first point of contact for market intelligence, business agendas and project matchmaking
Banco Central do Brasil	Inflation-targeting monetary authority; sets the Selic rate, manages reserves and registers foreign capital	Relevant for rate outlook, foreign-capital registration and banking-sector matters
Ministry of Finance and National Treasury	Leads fiscal policy, tax-reform implementation and the Eco Invest Brasil blended-finance programme	Key counterpart on fiscal outlook, tax transition and green-finance co-investment
Ministry of Development, Industry, Trade and Services (MDIC)	Leads industrial policy (Nova Indústria Brasil), trade defence and tariff negotiations, including with the US and EU	Relevant for manufacturing incentives, free-zone regimes and market-access questions
BNDES (National Development Bank)	Brazil's main long-term lender for infrastructure, industry and critical minerals, and a structurer of concession programmes	Important co-financing and project-pipeline partner for large investments
Petrobras	State-controlled oil company and leading pre-salt operator	Essential partner for upstream, offshore-services and energy-transition investments

CURRENT INTERNATIONAL BUSINESS CHANNELS

AmCham Brasil and the British Chamber of Commerce in Brazil (Britcham) are well-established foreign business associations, alongside the National Confederation of Industry (CNI), the São Paulo State Federation of Industries (Fiesp) and the China–Brazil Business Council (CEBC) for domestic and Asia-facing liaison. ApexBrasil hosts the Fórum Brasil de Investimentos and runs investor missions and webinars abroad. The Inter-American Development Bank, IFC, World Bank and BNDES are active co-financiers in infrastructure, energy transition and climate finance, with the IDB supporting Eco Invest Brasil. The B3 exchange and São Paulo's large professional-services community function as the main hub for deal origination and market intelligence.

INVESTOR PROFILE BEST SUITED

Brazil suits a broad range of investors seeking scale and long-term growth in Latin America's largest economy: infrastructure and concession investors targeting transport, sanitation and energy auctions; energy investors in pre-salt oil and gas, offshore services and the country's abundant wind, solar and green-hydrogen potential; agribusiness and food-processing investors building on record exports; mining investors focused on critical minerals; and financial-services, fintech and consumer investors serving Latin America's largest consumer market. Investors with long horizons, local-currency hedging capacity and partnerships with established Brazilian groups or development banks are best placed to benefit as interest rates ease.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage ApexBrasil and map the opportunity pipeline
Use the agency's investor intelligence, business agendas and project portfolio to identify sector opportunities and the relevant federal and state counterparts.

STEP 2: Structure entry and capital registration correctly from the outset
Take local legal and tax advice on corporate structure, foreign-capital registration with the Banco Central and positioning for the IBS/CBS tax transition from 2027.

STEP 3: Track concession, PPP and auction calendars
Follow federal and state infrastructure, energy and sanitation auctions, which offer long-term contracts and often BNDES co-financing.

STEP 4: Plan for the post-election policy framework
Monitor the incoming administration's fiscal and sector priorities after the 25 October 2026 run-off and build interest-rate and currency scenarios into project economics.

STEP 5: Leverage trade agreements and green-finance instruments
Use EU–Mercosur tariff preferences for supply-chain projects and explore Eco Invest Brasil and DFI co-financing for energy-transition and bioeconomy investments.